

UPI Fraud Case Study

♦ What is the Crime

UPI fraud is a type of cybercrime where scammers trick people into sending money through digital payment apps like Google Pay, PhonePe, or Paytm. It usually happens because users are not fully aware of how UPI transactions work, especially the difference between sending and receiving money.

♦ How it Happens

The fraud typically begins when the scammer contacts the victim through a phone call or message, pretending to be a genuine buyer or a bank representative. They speak confidently to gain trust and often create urgency.

Next, they send a “collect request” on the victim’s UPI app and tell them that they need to approve it to receive money. The victim, believing this, enters their UPI PIN. However, instead of receiving money, the amount gets deducted from their account.

In some cases, scammers may also ask for OTPs or other sensitive details to complete the fraud.

♦ Who is Targeted

This type of fraud mainly targets students, elderly people, and individuals who are new to digital payments. These groups are more likely to trust unknown calls or messages and may not fully understand how UPI systems work.

♦ Consequences

The main consequence is financial loss, which can sometimes be significant. Apart from money loss, victims often feel stressed, anxious, and lose confidence in using online payment systems. Since UPI transactions are processed instantly, recovering the lost money is usually very difficult.

◆ **Conclusion (Learning)**

This case shows that even a small mistake can lead to serious loss. It highlights the importance of staying alert, understanding how digital payments work, and never sharing sensitive information like UPI PIN or OTP with anyone.